

Live beneath your means

When you're hankering for a takeaway coffee but your coins are few, it's near impossible to imagine paying cash for a home. But for one couple, that was a mind-blowing reality. Monique Kinerson and her partner, with whom she shares a child, rarely eat out, buy second-hand instead of new, and turn appliances off at the wall. 'Living beneath our means', Kinerson calls it. And they've managed to buy a home with \$400,000 cash.

Aside from being glorious cheapskates, they are financially literate and confident enough to demand more of their bank. It's a skill that money experts have told me more should learn. Kinerson says:

We ... negotiate interest rates with the banks on our small mortgage in Sydney. Sometimes the bank agrees to reduce our fees for three months, but I diarise to call them after that time and renegotiate. They quibble a bit, but I go in with evidence that I can get a cheaper rate elsewhere, and I'm always prepared to move, and it works. I've only had to move banks once.

Source: theage.com.au/money/saving/meet-the-couple-who-bought-their-house-with-cash-and-other-fanatical-savers-20170413-gyk6cb.html

There's a much-used adage of bureaucrats and pencil-pushers called Parkinson's law: work expands to fill the time available for its completion. In a financial context, your spending swells as your access to money does. Learning to live beneath your means is a foolproof behavioural shift and an antidote to capitalising on each pay rise. It means continuing to be mingy even as your salary grows.

Building wealth – enough for a house deposit – depends on putting as much distance between what you need to live on and what you earn. Try grouping everything you spend in a bank statement, using Unkles' 'needs' and 'wants' buckets, and run a red line through even the most minor treats, through to extravagances, all of which you can survive without. After you pay your rent and bills, pay yourself 'pocket money', forcing yourself to become prudent. Even without a gatekeeper, you can get by on less, just as though you never had that salary rise in the first place.